



Shopee

**BRAND
PROTECTION**

2022

**ANNUAL
REPORT**

Contents

Introduction	02
Our Brand Protection Team	03
Our Brand Protection Strategy	04
01 Built-in Measures	05
1.1 Brand IP Portal	06
1.2 Proactive Monitoring & Detection	07
02 Brand Support & Community Awareness	08
2.1 Our Work with Brands	09
2.2 How We Work with Sellers	12
03 Industry Engagement	13
3.1 Engaging Industry Stakeholders	15
3.2 Partnerships with IP Rights Groups	17
Looking Ahead	19

Introduction

At Shopee, we believe online shopping should be accessible, easy and enjoyable. This vision is supported by our steadfast commitment to safeguarding the Intellectual Property (IP) rights of our brand partners and rights holders, which helps ensure our users have access to authentic products in our marketplace from the brands and sellers they love.

Over the past year, we have redoubled our efforts toward combating infringement and counterfeiting, which includes establishing a dedicated Brand Protection Team focused on building new tools and capabilities, reviewing and enhancing our policies and spearheading our brand protection programmes.

As we continue to step up our efforts, our inaugural Brand Protection Annual Report outlines our approach across three areas:

01 | Built-in Measures

Our dedicated teams employ a blend of technology-enabled solutions to proactively safeguard our community. We launched the Shopee Brand IP Portal to assist rights holders more efficiently through a more streamlined platform for addressing IP concerns. We also enhanced our machine learning tools to accelerate the detection and removal of suspected IP-infringing products.

02 | Brand Support and Community Awareness

We strengthened our brand partnerships and reinforced our community initiatives to combat IP rights infringement. We launched our Online-to-Offline Pilot Programme to support brands' offline investigations and consumer protection efforts, as well as a Brand Protection Website to educate rights holders, sellers and consumers about IP and Shopee's policies.

03 | Industry Engagement

The infringement of IP rights is an industry-wide problem. We understand that along with other stakeholders in both the private and public sectors, we all play a part in fighting bad actors and counterfeits. Expanding our industry partnerships and collaborations was thus a key focus for us over the past year.

We have engaged with over **300 brands**, prevented the sale of over **33 million listings** for suspected IP infringement, and suspended **1.4 times more seller accounts** for IP rights violations.

Although we are only at the beginning of our journey, we remain committed to further improving our brand protection efforts to serve our stakeholders better and deliver a greater impact to our community. With this spirit and purpose in mind, we look forward to building on the solid foundations we have set over the past year.

We welcome and appreciate constructive feedback from brands and our broader community as we continue our journey in the year ahead.



A stylized, handwritten signature of the name 'Charles' in black ink.

Charles Hoskin
Head of Brand Protection
Shopee

Our Brand Protection Team

Demonstrating our commitment to brand protection, we created a Brand Protection Team in 2022, led by Charles Hoskin.

Before joining Shopee, Charles oversaw the development of brand protection programmes across Asia for several luxury, pharmaceutical and FMCG brands.

Charles and his team focus on creating high-impact initiatives that protect brand rights while managing Shopee's relationships with essential stakeholders for IP rights protection, such as brands, agencies, industry associations, law enforcement, and government regulators.

The team is also supported by other colleagues throughout the organisation, from Operations and Legal to Data Science and Business Intelligence.

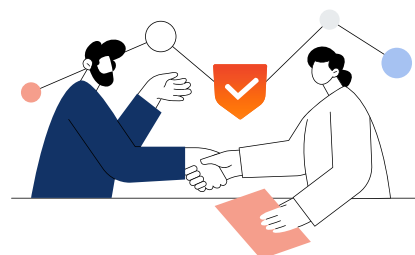
Brand Protection Team's Priorities

**1**

Building out new tools, capabilities, policies and processes

**2**

Raising IP rights awareness among our seller community

**3**

Engaging with rights holders and strengthening proactive measures

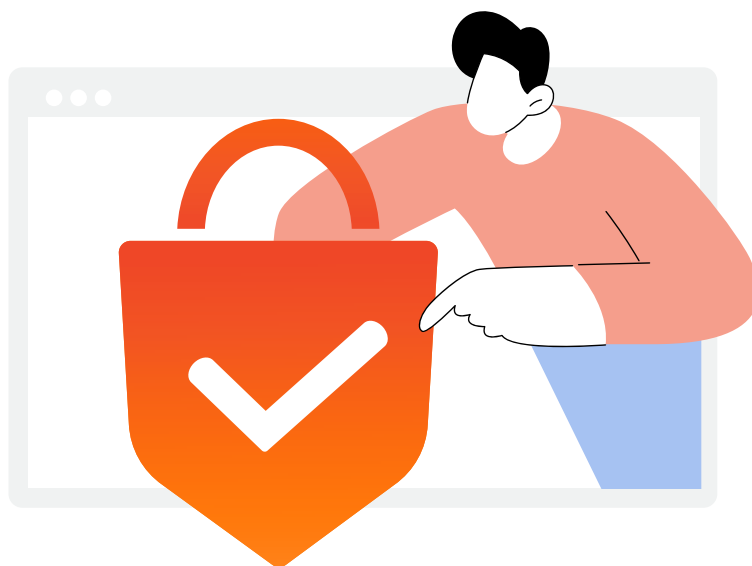
Our Brand Protection Strategy

SECTION 01

Built-in Measures

SECTION 01

Built-in Measures



Shopee continues to build a safe and secure environment for its sellers by protecting the IP of brands on the platform through various proactive measures.

We also employ machine learning tools and leverage data to monitor, detect and remove counterfeit products to mitigate risks and ensure that Shopee remains a reliable marketplace for all users.

2022



We launched our **Shopee Brand IP Portal** to provide brands with a seamless interface for registering their IP with us and reporting suspected IP rights infringement claims.



Using data collated from pilot users of the Portal, we are **working to improve our proactive counterfeit detection measures** by identifying enforcement trends and characteristics of bad actors.

SECTION 1.1

Brand IP Portal

The Shopee Brand IP Portal was launched in 2022 to provide rights holders with a one-stop platform to help them protect their IP rights and grow their brands. Following a simplified one-time registration, brands can seamlessly report suspected infringement cases and manage takedown requests centrally across all markets.

To join, brands and rights owners must submit relevant Brand IP documents depending on the type of IP (trademark, copyright, industrial design, and patent) they hold.

During the Portal's pilot phase, we were able to review and manage takedown requests

Since its pilot launch in August, users on the Portal

**within
48 hours**

**increased
by 10 times**

We continue to make further enhancements to the user experience of the Portal for rights holders and brands by bringing new tools and functionalities. Among other updates, the Portal will expand its language options and user FAQs, improve notifications, and introduce a new visualisation dashboard.

Following our pilot phase, we are also progressively rolling out access to the Portal to all IP holders interested in reporting infringement cases to Shopee for enforcement.

“

The launch of Shopee's New Brand IP Portal represents a significant advancement in simplifying the process for rights holders to register their intellectual property and report any suspected infringement.

Charles Hoskin

Head of Brand Protection
Shopee

Onboarding Process At-a-Glance

**STEP 1**

Sign up on the
Brand IP Portal

**STEP 2**

Submit an application
as a brand owner, rights holder,
authorised agent, or law firm

**STEP 3**

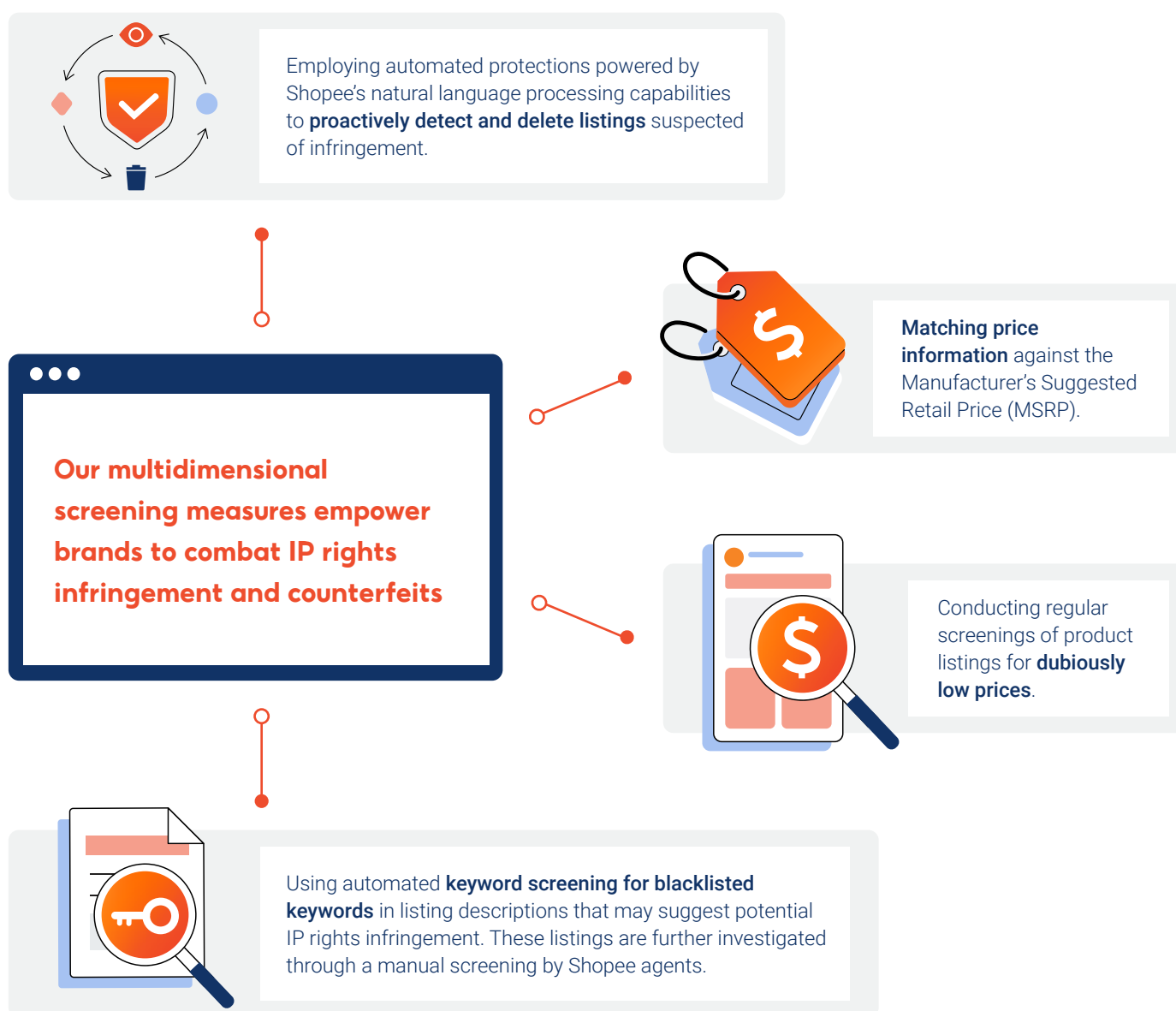
Access the Brand IP Portal
after application approval

SECTION 1.2

Proactive Monitoring & Detection

In collaboration with our brand partners, we are developing more sophisticated machine learning algorithms to improve our proactive counterfeit detection.

In addition to our automated proactive screening measures, we have deployed dedicated listing management teams in each market where we operate, allowing our teams to screen listings in local languages.



Our Brand Protection Strategy

SECTION 02

Brand Support & Community Awareness

SECTION 02

Brand Support & Community Awareness



SECTION 2.1

Our Work with Brands

Over the past year, we worked directly with over 300 brands across our various programmes and initiatives, including our Online-to-Offline Pilot Programme (O2O), which aims to support brands' offline investigations and efforts to protect their consumers.

Our O2O programme is a collaboration between Shopee, rights holders, and local law enforcement agencies to combat the proliferation of counterfeit products that enter the marketplace and deter future bad actors from engaging in activities that infringe IP rights on our platform.

“

Puma is pleased to recognise Shopee's progress in setting up a dedicated Brand Protection Team.

We have seen a strong commitment from the platform to develop new capabilities, including the launch of their Brand IP Portal, which has greatly improved our reporting efficiency.

Puma looks forward to expanding our collaboration with Shopee as they continue to increase their efforts to protect IP rights.



Wei Zhang
Senior Counsel Brand Protection
Puma SE

“

*Levi Strauss & Co. would like to commend Shopee for their successful launch of the Shopee Brand IP Portal and for **partnering with rights holders to combat counterfeiting and IP infringements across the Shopee platforms.***

LS&Co. is encouraged by these developments and we look forward to working closely together, through partnership and collaboration.



Zach Toczyński
Sr. Director, Global Brand Protection
Levi Strauss & Co.

SECTION 2.1

How It Works



1

Identification

Shopee works with rights holders to identify sellers of counterfeits on the platform.

Consultation

With the aim of empowering rights holders to take tangible action against sellers of counterfeits, Shopee will share recommendations on investigation plans, including potentially pursuing an offline enforcement action.

2



3

Investigation

Following consultation meetings, rights holders can launch their offline investigation to gather intelligence on the physical source of counterfeit products and assess the viability for an enforcement action.

Offline Action

In collaboration with local law enforcement, physical premises are raided by the authorities, and any counterfeit goods found are confiscated.

4

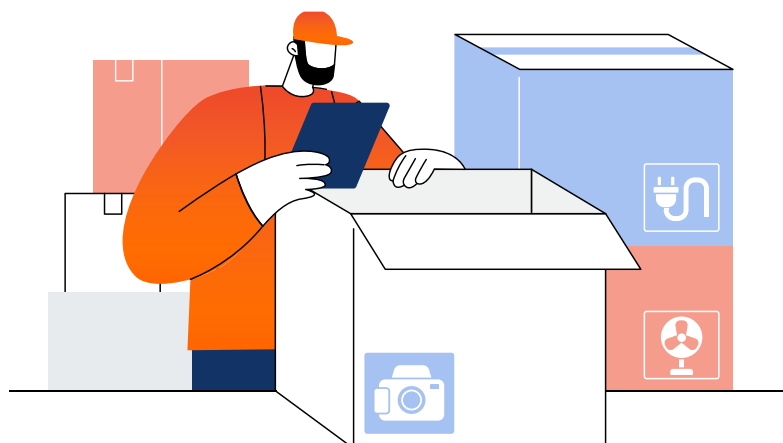


CASE STUDIES

Offline Enforcement Action



Brazil



Recognising the importance of working with law enforcement and regulators to tackle counterfeits at the source, we worked with **Brazil's National Telecommunications Agency (Anatel)** in July 2022 to identify unlicensed electronics that were transiting through a Shopee distribution centre in São Paulo and cooperated in the seizure of 2,000 non-approved electronics products worth an estimated R\$ 53 million.



Thailand

We worked with **Thailand's Department of Intellectual Property, the Ministry of Commerce, the Customs Department, and the US Patent and Trademark Office** in August 2022 to take offline action against counterfeit sellers from the fashion industry. This culminated in a "destruction event" with thousands of fake products being destroyed.



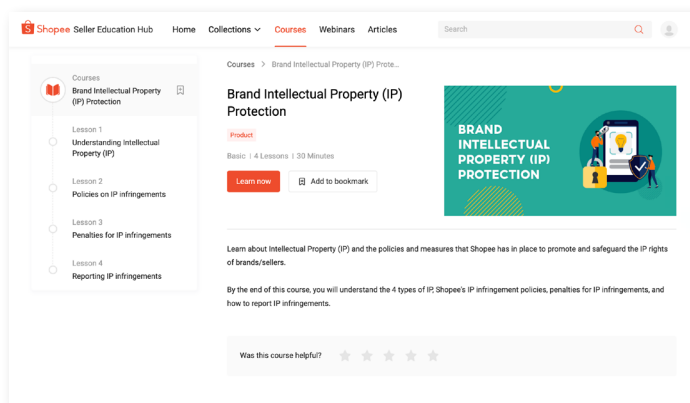
SECTION 2.2

How We Work with Sellers

Complementing our built-in features, we also recognise the importance of engaging our seller community in tackling the industry-wide problem of counterfeits and IP rights violations.

Seller Education Hub

We consider seller education an essential component in the fight against IP infringement on e-commerce marketplaces, as it helps foster a culture of responsible selling while encouraging compliance with IP laws and regulations. Our **Seller Education Hub** features content that makes it easier for our sellers to understand their obligations as sellers, as well as our platform policies with respect to IP rights and other prohibited listings.

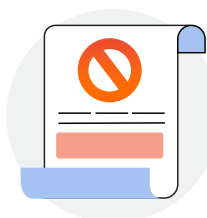


Brand Protection Website

In addition to our standard, Seller Education Hub and mandatory training for all sellers, we also launched the **Shopee Brand Protection Website** dedicated to educating rights-holders, sellers, and consumers on the basics of IP.



Our strict IP rights Policies:



Shopee's **Prohibited and Restricted Items Policy** expressly prohibits sellers from selling or offering for sale infringing and counterfeit goods.



At Shopee, we **incentivise sellers** to ensure they maintain high service standards to create a great shopping experience for buyers.



Our **Seller Penalty Points System** disincentivizes sellers from committing IP rights infringement while helping to deter repeated violations.

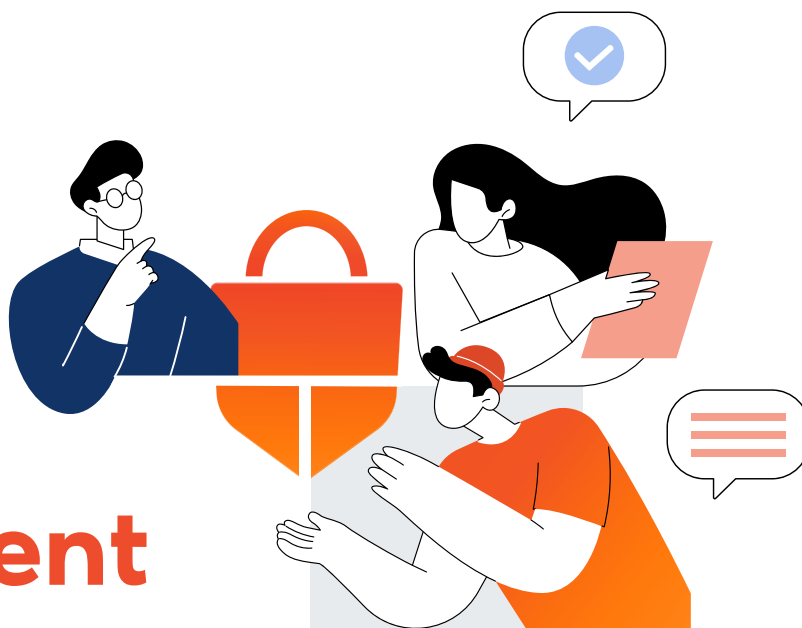
Our Brand Protection Strategy

SECTION 03

Industry Engagement

SECTION 03

Industry Engagement

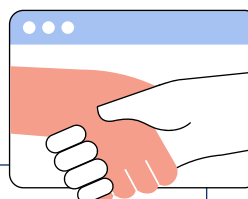


At Shopee, we strongly believe in the power of close collaboration and collective action of multiple stakeholders across private and public sections in the fight against bad actors and counterfeits. As an industry-wide problem, we recognise that by exchanging feedback, sharing best practices, brainstorming for solutions and discussing new ideas, we can better protect consumers and ensure a safer online shopping environment for all.

...
Last year, we had the privilege of working with

Pharmaceutical Security Institute (PSI)

The Southeast Asia eCommerce Anti-Counterfeiting
Working Group (SeCA Working Group)



...
We also deepened our engagement with

The United States Patent and Trademark Office (USPTO)

EuroCham Singapore

JETRO

Interpol

SECTION 3.1

Engaging Industry Stakeholders

Shopee attended a roundtable event with the **Pharmaceutical Security Institute (PSI)** at **Interpol** to discuss ways in which platforms can collaborate to tackle the online sale of illicit pharmaceuticals. This event was the genesis for discussions on the creation of the e-care initiative, launched in May 2023.

Shopee met with the **International Trademark Association (INTA)** during IP Week in Singapore to plan for 2023's Annual Meeting where Shopee participated in the Anticounterfeiting workshop:

"Evolving Online Landscape in APAC:
From Enforcement to Privacy - What Every
Stakeholder Wants, and Needs to Know".

Jul 2022

Sep 2022



Shopee met with **United States Patent and Trademark Office (USPTO)** Director Kathi Vidal to discuss opportunities for joint capacity building in the region. Shopee also met with the USPTO attache in Bangkok to discuss detailed areas of cooperation.

Sep 2022

Shopee continued to work closely with the **Department of Intellectual Property (DIP)** and other stakeholders to improve online IP rights protection in Thailand in 2022, following the MOU signing in 2021.

Sep 2022



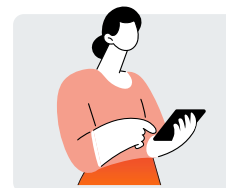


Oct 2022

Shopee met with the **International AntiCounterfeiting Coalition (IACC)** leadership in October 2022 in Washington D.C. to provide an update on Shopee's policies and new initiatives on brand protection.

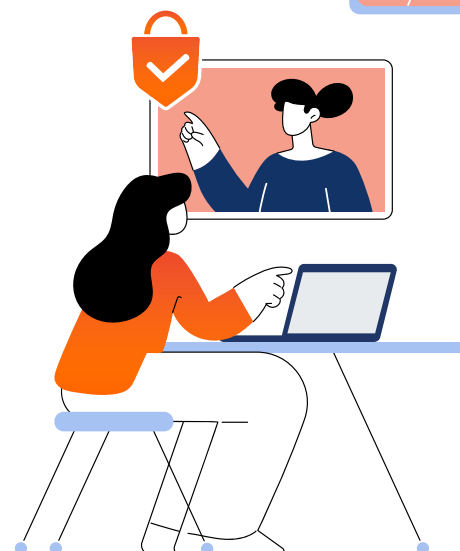
Nov 2022

Eurocham Singapore invited Shopee to present to their IP rights Committee members in November 2022 to share Shopee's latest brand protection efforts and answer questions on the top concerns from brands.



Dec 2022

Sharing year-end updates, Shopee held a virtual meeting with **over 50 INTA Corporate Members** to discuss the latest developments on Shopee's brand protection initiatives, including updates to the Shopee Brand IP Portal, and the launch of our brand protection video.



Mar 2023

In March 2023, Shopee met with the **Japan External Trade Organization (JETRO)** in Singapore and is working closely with them and a number of Japanese brands.

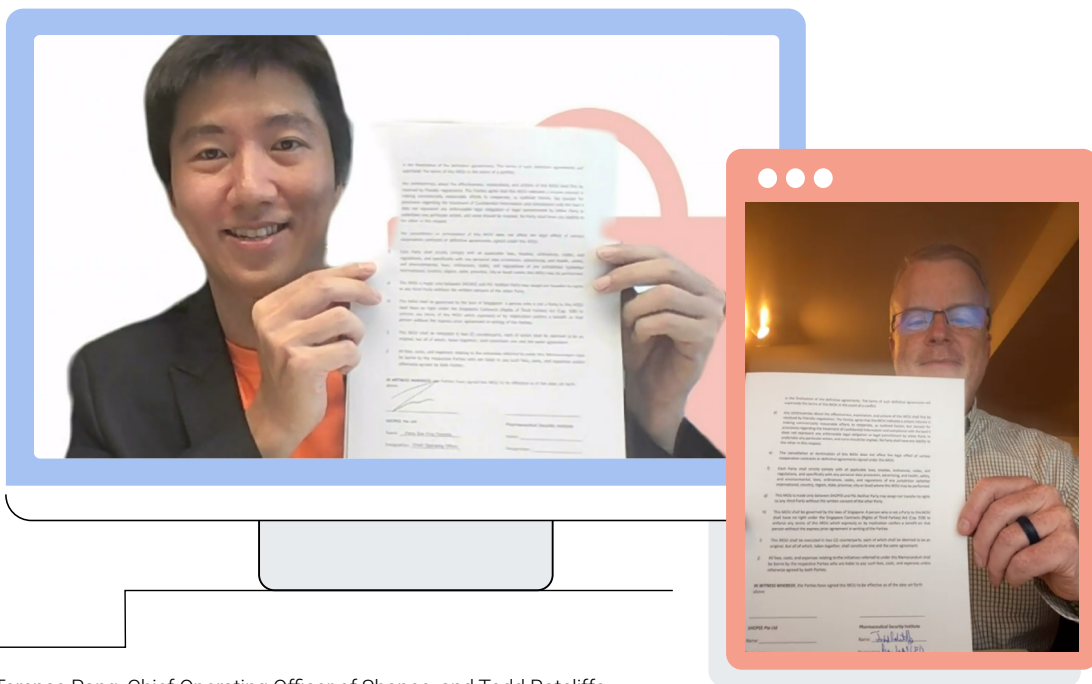


SECTION 3.2

Partnerships with IP Rights Groups

Over the past year, we redoubled our efforts in upholding IP rights and regulations by forging collaborations with IP rights-focused organisations to improve awareness of counterfeit trends and strengthen our processes.

Pharmaceutical Security Institute (PSI)



MOU signing by Terence Pang, Chief Operating Officer of Shopee, and Todd Ratcliffe, President and Chief Executive Officer of the Pharmaceutical Security Institute

Shopee and PSI, a not-for-profit, membership corporation dedicated to protecting public health, signed a Memorandum of Understanding (MOU) targeting the sale of counterfeit pharmaceutical products. The MOU affirms both Shopee and PSI's commitment and dedication to protecting public health against counterfeit medicines and is part of Shopee's increased efforts to tackle counterfeits on its platform.

Since the signing, Shopee has worked with a number of PSI brands on specific illicit trade issues in the sector.



PSI is proud to partner with Shopee in its undertakings to combat pharmaceutical crime. Shopee's conscious efforts to protect public health are aligned with PSI's mission and vision. We look forward to cementing this collaboration to the next level.



Ramesh Raj Kishore
The Pharmaceutical
Security Institute (PSI)

React



MOU signing by Charles Hoskin, Head of Brand Protection, Shopee and Ronald Brohm, Managing Director at React.

Shopee and React, an interest group for brand owners seeking protection against online IP rights infringements, signed an MOU at the React Asia Annual Meeting in Penang which saw attendees from more than 20 different countries, including rights holders, law enforcement officials and e-commerce players.

The MOU between Shopee and React aims to strengthen cooperation between the two organisations and create favourable conditions for preventing and suppressing online trade infringing on React members' intellectual property rights, ultimately promoting a safe and secure online shopping experience for Shopee customers.

The Southeast Asia eCommerce Anti-Counterfeiting (SeCA)



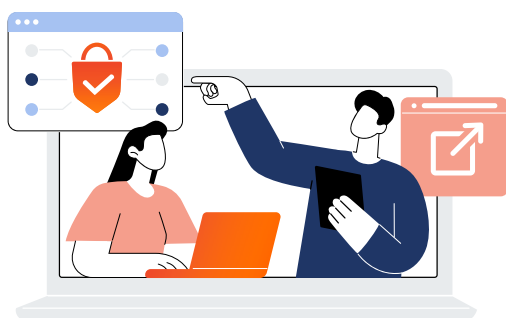
Shopee joined and shared best practices with the SeCA working group, which comprises various intellectual property rights (IP rights) owners, IP rights owner groups and platforms with e-commerce features.

The working group has committed to collaborating with stakeholders to address evolving issues around the sale of counterfeit goods online and jointly protect IP rights and consumers online.

Looking Ahead

We recognise that we are only at the beginning of our journey. As a company, we remain committed to building on our brand protection strategy through in-app proactive controls, tools for right holders and sellers, as well as meaningful engagements and partnerships with industry stakeholders.

In the year ahead, our focus will be on:

**1**

Increasing accessibility and expanding the features of our Brand IP Portal

**2**

Expanding and deepening our partnerships with brands and industry groups

**3**

Further strengthening our in-app proactive controls

We will continue to enhance our platform and strengthen our ecosystem, which will give our users, sellers and brand partners added peace of mind when using our platform.



Shopee

**BRAND
PROTECTION**